crisis. This leads to the government putting a ban on the exports of onions, imposition of storage and other controls under the ECA and a few raids, including by income tax authorities, on onion traders.

Considering that such episodes are invariably short-lived, why do we fret so much over onion prices?

Low Incomes for Onion Farmers

India produces around 230 lakh tonnes of onion, on average 18 kg of onion per person, a year. This is a little over 20 per cent of the total world onion production, making us the second largest producer of onions after China, which produces about 25 per cent. Egypt and the US come in third and fourth, each with about 3–4 per cent of the global share. India consumes only about 60–70 per cent of the onions produced. The rest is either exported, used otherwise or wasted. In fact, India is the largest exporter of onions in the world, earning over Rs 3000 crore in 2018 alone. China, the US and Egypt are the next three largest exporters, earning about less than half of what Indian exporters earn every year. India is also the lowest cost producer of onion and prices in India are usually the lowest in the world.

India has three crops of onion a year. The Rabi crop, which is harvested between March–May, is the largest. A little over 150 lakh tonnes of total onion production of 235 lakh tonnes in 2018–19 was produced in this crop season. The crop is quite stable in terms of production with very little variation from year to year (except in years when farmers decided to cut down on planting on account of extremely low prices the year before). This crop is also ‘storable’ and farmers have developed on-farm storage to stock it and release it gradually every month until September–October. India has two smaller crops of onion: Kharif sown between July–August and harvested between October–December contributing about 30–35 lakh tonnes or 15 per cent of the annual crop production and late Kharif, sown between December–January and harvested between January–March,